

ECON251 Industry and Trade in Asia

Case Study B

Practise Questions:

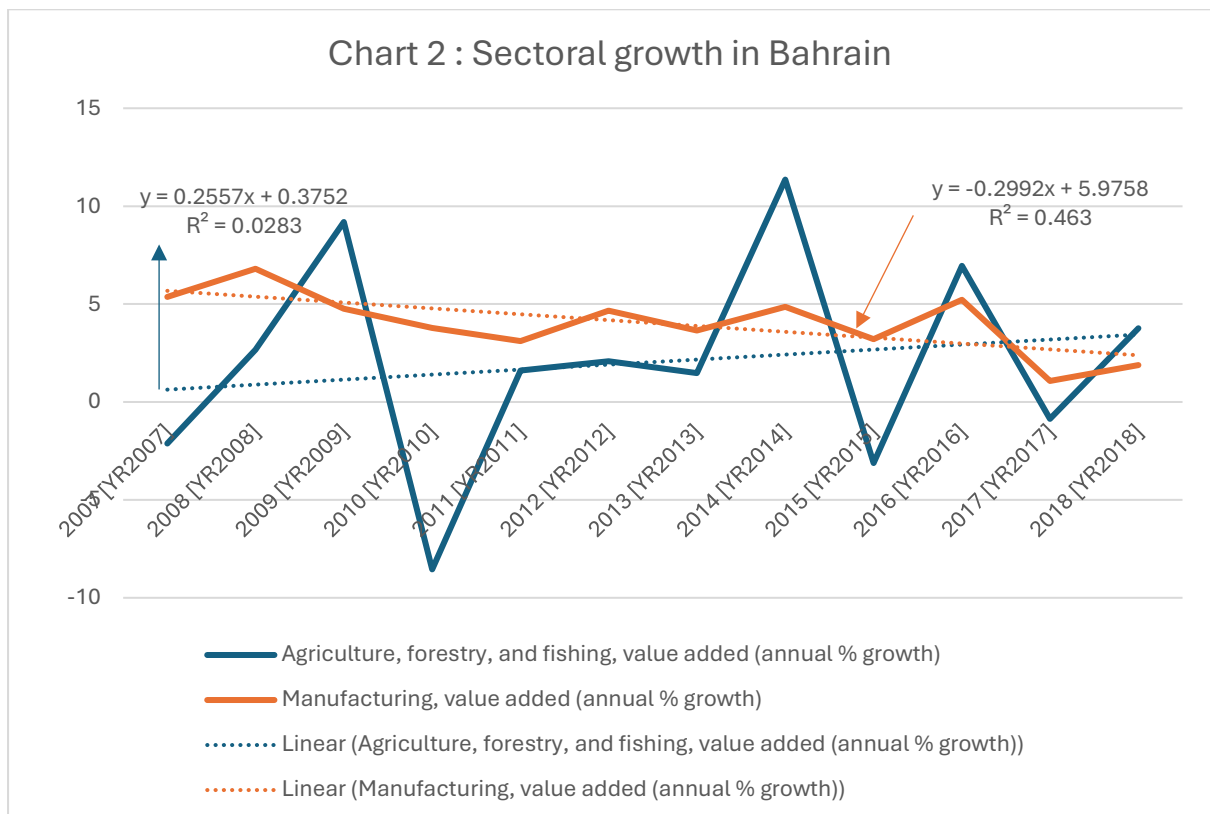
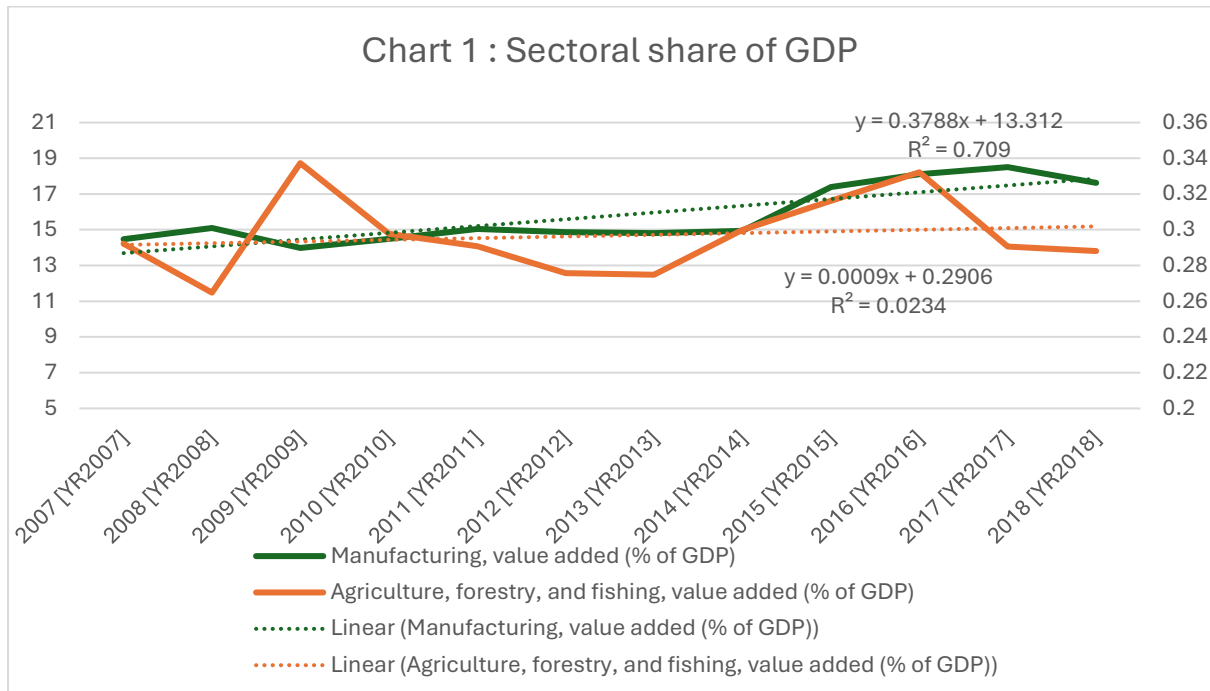


Key guidelines :

1. Spend time run through each chart even before you read the questions
2. Pay close attention to
 - a. The units of measurement in each axis esp those with %
 - b. The secondary axis
 - c. Values below 0 axis
 - d. The trendline and details of the equation [not all trendlines include the equation]
3. You are not required to state the precise values from the chart
4. Each question usually carries 4- 6 marks so ensure you answer ALL the questions.
5. When answering the case study questions, please note that the questions follow the chronological order of the charts provided in the appendix.
 - **Sequential Order:** You will extract evidence progressively (e.g., if a question requires evidence from Chart 1, the subsequent question will draw from Chart 2, and so on).
6. You are not expected to have prior knowledge of the Asia economy. Focus is still on the key concepts covered in lectures on the general approach of growth of the Asia economies

[Note this is not a sample exam paper. In the typical exam paper, all the charts are provided in the appendix]

Q1> Extract the evidence(s) from Chart 1 and 2 , to account for the industrialisation taking place in Bahrain



Q2> Explain how the data in the following charts may explain the key benefits of industrialisation .

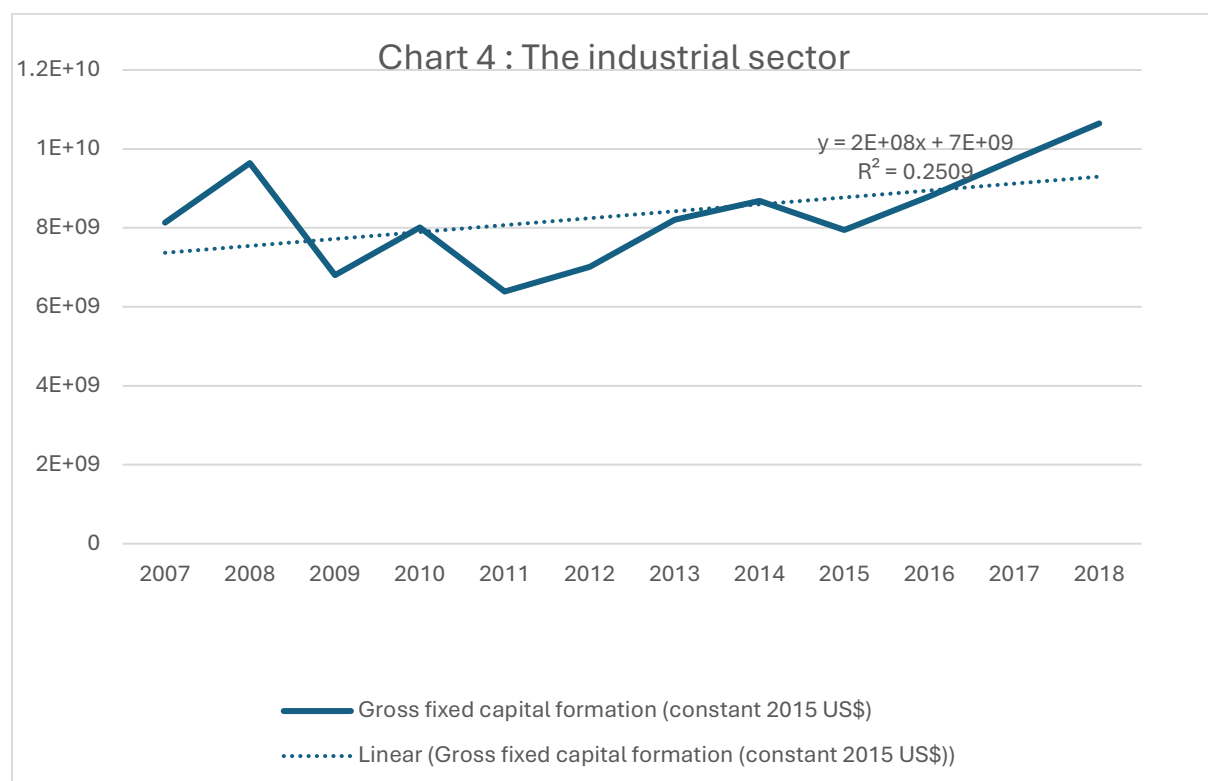
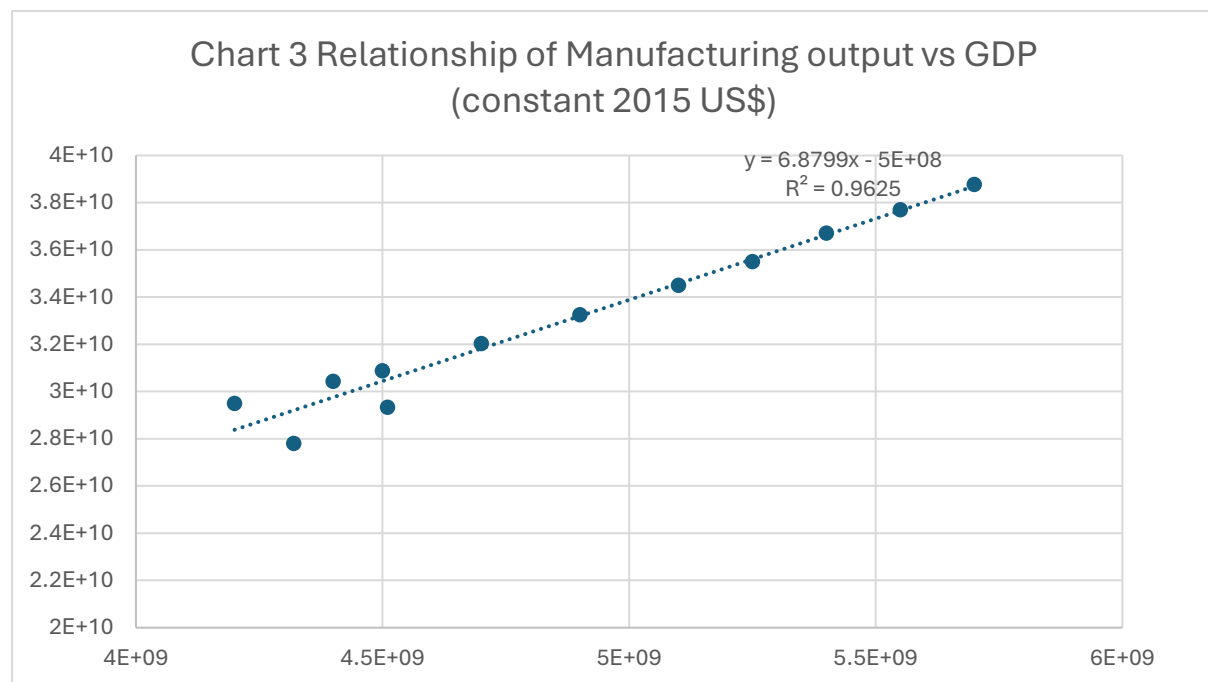
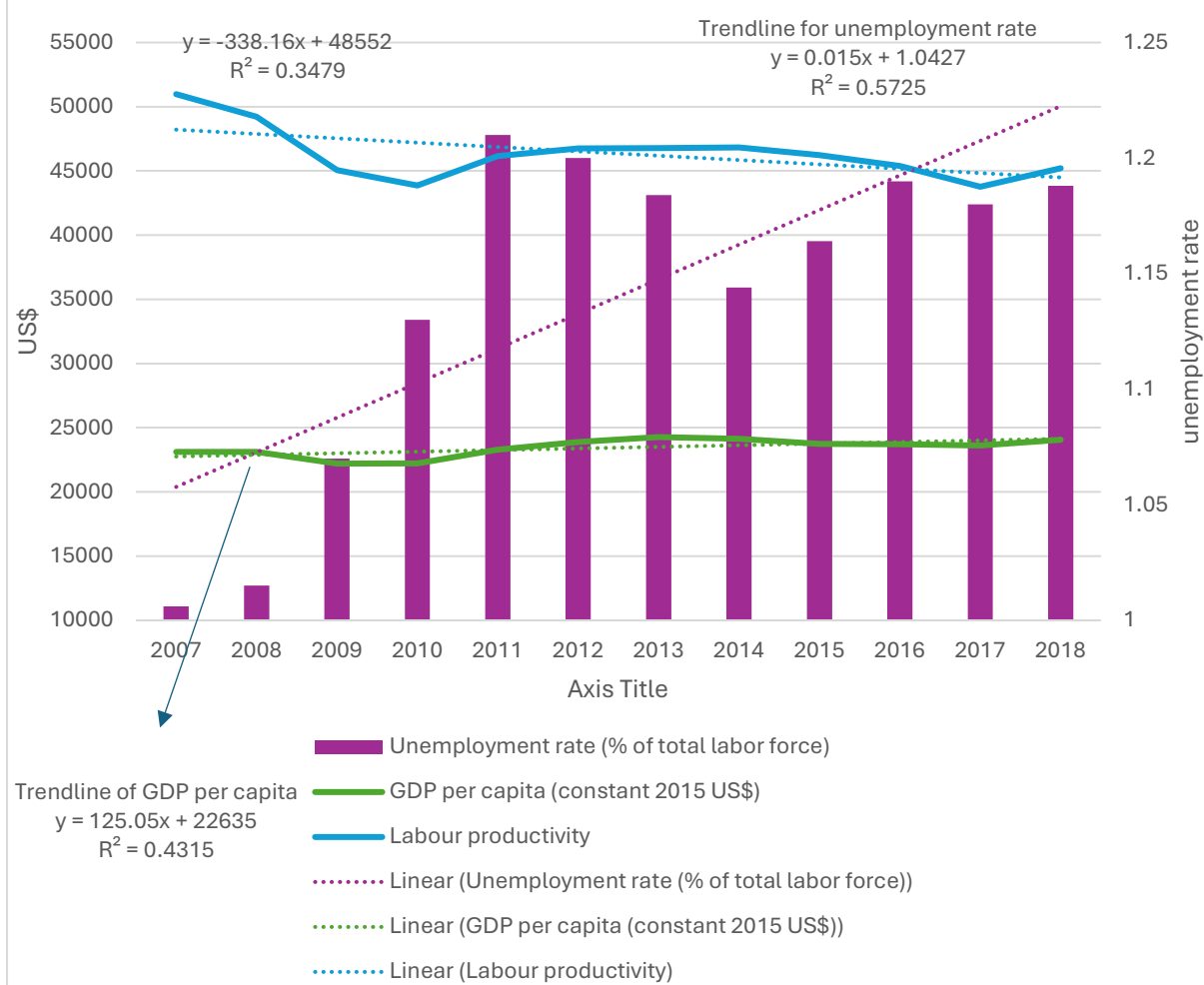
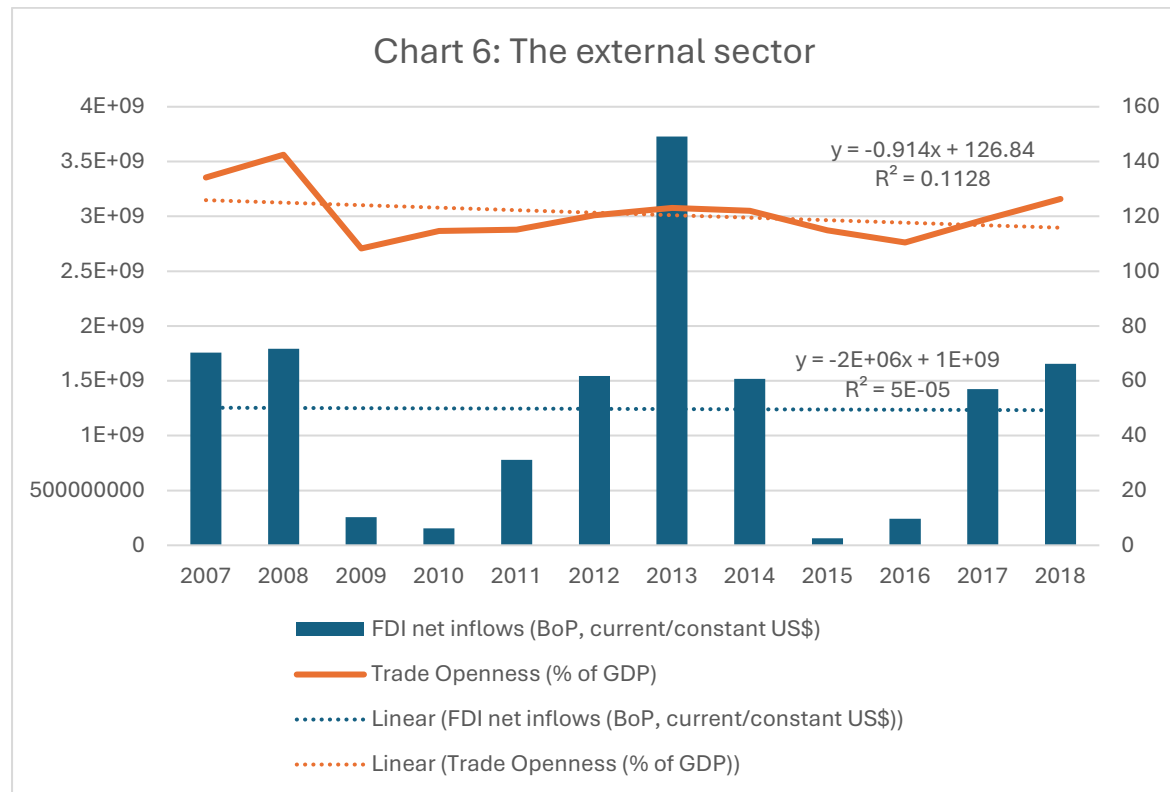


Chart 5 : The labour market



Q3> Explain using the data in the following chart why Bahrain is considered an open economy (i.e. adopting outward oriented growth path)

State 2 other indicators that we will need to further justify the country is an open economy



Q4> The regression tables shows how the level of FDI inflow in Bahrain is affected by the selected x variables. Answer the following questions based on the regression results

Regression Statistics								
Multiple R	0.840405629							
R Square	0.706281621							
Adjusted R Square	0.538442547							
Standard Error	705595163.9							
Observations	12							
ANOVA								
	df	SS	MS	F	Significance F			
Regression	4	8.38023E+18	2.09506E+18	4.208088173	0.047680067			
Residual	7	3.48505E+18	4.97865E+17					
Total	11	1.18653E+19						
	Coefficients	Standard Error	t Stat	P-value	Lower 95%	Upper 95%	Lower 95.0%	Upper 95.0%
Intercept	7969569245	13589845883	0.586435587	0.575997152	-24165309905	4.01E+10	-2.4E+10	4.01E+10
GDP per capita (constant 2015 US\$)	-629287.6888	873824.7928	-0.720153163	0.494768732	-2695554.986	1436980	-2695555	1436980
Gross fixed capital formation (constant 2015 US\$)	0.499183178	0.293403606	1.701353249	0.132667643	-0.194606104	1.192972	-0.19461	1.192972
Unemployment rate (% of total labor force)	-3678935994	4004753012	-0.918642419	0.388839675	-13148672087	5.79E+09	-1.3E+10	5.79E+09
Trade openness (% of GDP)	54428420.54	22059392.58	2.46735808	0.042999118	2266245.859	1.07E+08	2266246	1.07E+08

- Explain the role of rising unemployment (as seen in chart 5), in affecting the level of FDI inflow in Bahrain and explain if the government should be worried about this development.
- With reference to Chart 6 and the regression results, Bahrain's FDI inflows are highly volatile. Identify the most important positive x variable driving this relationship, and explain one economic reason for its impact.
- Explain one policy tool the government can use to further increase the x variable identified in part (b) to boost long-term FDI.